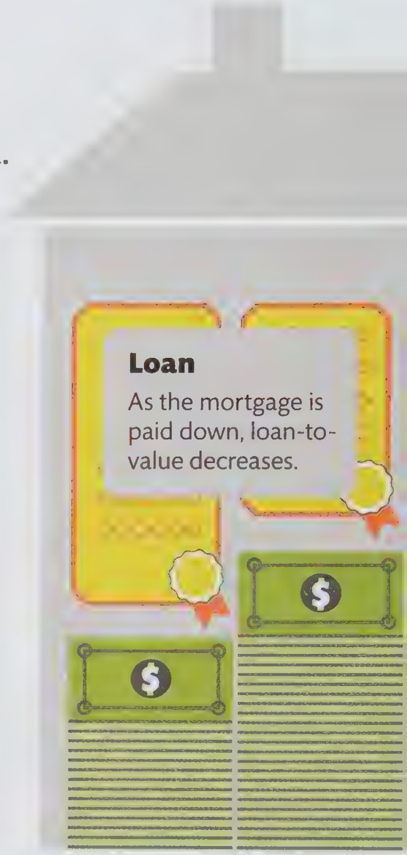
Home equity

The amount of equity in a home is a measure of a property's value. It is the realizable amount an owner could expect if, after taking debts against it into account, a property was sold.

How it works

The equity of a property is calculated by subtracting all debts incurred on behalf of that property from its actual value. The amount of equity rises as the mortgage (loan) is paid down, and/or the property's value increases.

Financial institutions work out home equity as a loan-to-value (LTV) rate, which is arrived at by dividing any remaining loan balance by the current market value of the property. A low LTV (less than 80 percent) is seen as lower risk for further lending.



NEED TO KNOW

- **Collateral** A property or asset that a lender will take if a borrower fails to pay a loan.
- **Home equity loan** A loan that uses equity in a property as collateral.
- **Equity** A property's equity is equal to the current value of the property minus the outstanding loan amount.

$11.9 trillion

US mortgage debt at the end of 2008

Positive equity

If the actual market value of a property is greater than the amount of debt owed on it in the form of a mortgage, then the property is said to be in positive equity.